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Labour Code Readiness Assessment

Prepared for

Sahyadri Precision Components Pvt Ltd

Assessment period	**FY 2026–27**
Report date	**06 Nov 2026**
Audit reference	**LLA-0001**
Prepared by	**CA R. Deshmukh**

OVERALL READINESS

75 / 100

HIGH

8 gaps · 100% assessed

Rs. 9.54 L wage impact

REVIEWED FOR CLIENT ISSUE

LabourLedger is a document automation and audit-support tool for qualified professionals. It does not provide legal advice, a legal opinion, or a guarantee of compliance. Applicability, thresholds, state rules and statutory interpretations vary and must be verified against the latest official notifications and the client's specific facts. The signing professional remains responsible for the final report and the advice given to the client.

01 EXECUTIVE SUMMARY

What the assessment found.

OVERALL SCORE	RISK	HIGH FINDINGS	WAGE IMPACT
75/100	High	4	Rs. 9.54 L

The client shows weak readiness across the four Labour Codes. 4 high-severity findings and 2 medium-severity findings require partner attention. The current basic-pay structure requires correction to at least Rs. 21,000 per month; the indicative annual employer impact is Rs. 9,53,640.

Priority exposures

1. Is contract labour registered/licensed where 50 or more contract workers are engaged (or the applicable state threshold is met)? HIGH

Map contractor headcount and licences. Register the principal employer and require valid contractor licences.

2. Is a works committee constituted and meeting where 100 or more workers are employed? HIGH

Constitute the works committee and schedule quarterly meetings with minutes.

3. Is the POSH annual report prepared and submitted to the District Officer within the prescribed timeline? HIGH

Prepare the annual POSH report and retain the submission acknowledgment.

WHAT THIS MEANS

The 50% wage rule is a payroll-design issue, not a formatting issue. Before the client signs off on the assessment, the firm should reconcile the wage structure, PF/ESI coverage, the POSH file and the contract-labour records against the evidence. The remediation plan in this report sequences the work.

02 SCOPE & APPLICABILITY

Which obligations likely apply.

Applicability is indicative. It is based on the client profile, headcount, contractor count and industry. State rules, notifications and establishment classifications can change the position. The engagement team records its override in the audit file.

CODE / OBLIGATION	POSITION	WHY / WHAT TO VERIFY
Code on Wages, 2019	Applies	Applies to all employees in organised and unorganised sectors. The 50% wage definition and minimum-wage obligations need a payroll review. Action: Validate wage structure, minimum wages, overtime and bonus.
Code on Social Security, 2020	Applies	PF/ESI/gratuity obligations are likely to apply at this headcount. Confirm scheme thresholds and state coverage. Action: Reconcile PF/ESI coverage and gratuity provision.
Industrial Relations Code, 2020	Applies	Grievance redressal machinery is likely to apply. Works committee (100+) and standing orders (300+) need a separate check. Action: Constitute grievance/works committees and review standing orders.

CODE / OBLIGATION	POSITION	WHY / WHAT TO VERIFY
Occupational Safety, Health and Working Conditions Code, 2020	Applies	Hazardous activity can attract OSH obligations regardless of headcount. Safety committee, working hours and accident reporting need review. Action: Review working hours, safety committee and accident register.
POSH Act, 2013	Applies	An Internal Committee and POSH policy are mandatory at 10 or more employees. Action: Constitute the ICC and file the annual POSH report.
Contract labour obligations	Review	Contract workers are engaged but below the common 50-worker threshold; verify state rules and core-activity restrictions. Action: Verify principal-employer registration, contractor licences and records.
Certified standing orders	Not indicated	Below the common 300-worker threshold; verify any state-specific requirement. Action: Draft, certify and display standing orders.

STATE NOTE

Professional Tax and Labour Welfare Fund registrations commonly apply. Verify state minimum wages and Shops & Establishments rules.

03 WAGE RESTRUCTURING

The 50% rule, quantified.

The model keeps the client's CTC neutral where possible by reducing other allowances. Any unfunded balance and the incremental PF, gratuity and bonus provisions are shown as employer impact. The numbers are indicative and must be reconciled with payroll and state notifications.

COMPONENT	CURRENT	PROPOSED
Basic pay	Rs. 15,960	Rs. 21,000
HRA	Rs. 9,240	Rs. 9,240
Other allowances	Rs. 16,800	Rs. 11,760
Monthly CTC	Rs. 42,000	Rs. 42,000

IMPACT LINE	AMOUNT
Basic pay increase	Rs. 5,040
Allowance reduction to keep CTC neutral	Rs. 5,040
Employer PF delta (monthly)	Rs. 0
Gratuity provision delta (monthly)	Rs. 242
Bonus provision delta (monthly)	Rs. 420
Indicative annual employer impact	Rs. 9,53,640
Employee PF impact (monthly)	Rs. 0

ASSUMPTIONS

1. Monthly CTC is the average fixed remuneration per employee, before employer PF and gratuity. 2. EPF is modelled on the Rs. 15,000 statutory wage ceiling. 3. Gratuity is provided at 4.81% of basic; bonus at 8.33% where applicable. These are incremental provisions, not necessarily cash paid in the year. 4. The model keeps CTC neutral where possible by reducing other allowances; any unfunded balance is shown as employer cost.

04 ASSESSMENT RESULTS

Where the gaps are.

25-point assessment matrix

Every requirement is shown with the client's answer and the resulting gap severity. "Not assessed" items are follow-ups, not clean results.

ID	REQUIREMENT	STATUS	GAP
W1	Are basic pay, dearness allowance and retaining allowance at least 50% of total remuneration for all employees?	Compliant	—
W2	Are all employees paid at least the applicable central or state minimum wage for their skill category?	Compliant	—
W3	Are wages paid within the prescribed wage period, through a permitted mode, with a documented wage period?	Compliant	—
W4	Is overtime paid at not less than twice the normal rate of wages, and is overtime properly authorised and recorded?	Gap	HIGH
W5	Is statutory bonus computed for eligible employees at the minimum 8.33% (subject to the applicable ceiling and maximum 20%)?	Compliant	—
W6	Is there a documented equal-remuneration policy and no gender-based discrimination in wages or recruitment for the same or similar work?	Partial	LOW
S1	Is the establishment registered under the EPF scheme (where applicable) and are monthly contributions deposited with correct employee/employer shares?	Compliant	—
S2	Is the establishment registered under ESI (where applicable) and are contributions deposited for all covered employees?	Compliant	—
S3	Is gratuity provided or funded for eligible employees with at least five years of continuous service, with a documented valuation?	Compliant	—
S4	Is there a documented employee compensation policy for employment injury and occupational disease?	Partial	LOW
S5	Are contractor workmen covered by PF/ESI where applicable, and are principal-employer records maintained?	Partial	MEDIUM
C1	Are daily working hours limited to 8 and weekly hours to 48, with prescribed rest intervals and overtime records?	Compliant	—
C2	Are weekly offs, annual leave, sick leave and casual leave granted and recorded for every employee?	Compliant	—

ID	REQUIREMENT	STATUS	GAP
C3	Are maternity benefits (including 26 weeks where applicable), nursing breaks and related protections provided and recorded?	Partial	MEDIUM
C4	Are appointment letters, service records, job descriptions and statutory notices issued and maintained for all employees?	Compliant	—
C5	Are welfare facilities, drinking water, sanitation, restrooms and workplace safety arrangements documented and inspected?	Compliant	—
I1	Is contract labour registered/licensed where 50 or more contract workers are engaged (or the applicable state threshold is met)?	Gap	HIGH
I2	Are contractor registers, wage records, attendance and principal-employer records maintained and reconciled?	Compliant	—
I3	Is a grievance redressal committee constituted and functioning (where the applicable worker threshold is met)?	Compliant	—
I4	Is a works committee constituted and meeting where 100 or more workers are employed?	Gap	HIGH
I5	Are certified standing orders in place and displayed where 300 or more workers are employed?	Not assessed	—
P1	Is a POSH policy in place and is an Internal Committee constituted with the prescribed composition (10 or more employees)?	Compliant	—
P2	Is the POSH annual report prepared and submitted to the District Officer within the prescribed timeline?	Gap	HIGH
P3	Are POSH awareness sessions and manager/ICC training conducted and recorded?	Compliant	—
P4	Is a safety committee constituted, a safety officer appointed where applicable, and an accident register maintained with reportable incidents notified?	Compliant	—

Findings register

Severity reflects the potential exposure if the gap is not remediated. Partial answers are treated as medium or low depending on the underlying requirement.

HIGH
I1

Is contract labour registered/licensed where 50 or more contract workers are engaged (or the applicable state threshold is met)?

Occupational Safety, Health and Working Conditions Code, 2020 — contract labour; state rules

Map contractor headcount and licences. Register the principal employer and require valid contractor licences.

HIGH
I4

Is a works committee constituted and meeting where 100 or more workers are employed?

Industrial Relations Code, 2020 — works committee

Constitute the works committee and schedule quarterly meetings with minutes.

HIGH
P2

Is the POSH annual report prepared and submitted to the District Officer within the prescribed timeline?

POSH Act, 2013 — s. 21

Prepare the annual POSH report and retain the submission acknowledgment.

HIGH
W4

Is overtime paid at not less than twice the normal rate of wages, and is overtime properly authorised and recorded?

Code on Wages, 2019 — overtime provisions

Introduce an overtime authorisation and calculation sheet. Recalculate the last three months and pay any shortfall.

MEDIUM
C3

Are maternity benefits (including 26 weeks where applicable), nursing breaks and related protections provided and recorded?

Code on Social Security, 2020 — maternity benefit provisions

Review maternity cases and policy. Document payments, leave and return-to-work protections.

MEDIUM
S5

Are contractor workmen covered by PF/ESI where applicable, and are principal-employer records maintained?

Code on Social Security, 2020; contract labour provisions

Collect contractor PF/ESI registrations and challans. Audit the last three months of contractor payroll.

LOW S4	**Is there a documented employee compensation policy for employment injury and occupational disease?** Code on Social Security, 2020 — employee compensation provisions	Adopt an employment-injury compensation procedure and verify insurance/ESI coverage.
LOW W6	**Is there a documented equal-remuneration policy and no gender-based discrimination in wages or recruitment for the same or similar work?** Code on Wages, 2019 — equal remuneration provisions	Adopt an equal-remuneration policy and run a grade-wise pay-gap review. Document the rationale for any differential.

05 REMEDIATION PLAN

The next 90 days.

Next 30 days — Stop the bleeding: wage structure, PF/ESI, POSH, safety.

1. Map contractor headcount and licences. Register the principal employer and require valid contractor licences.
2. Constitute the works committee and schedule quarterly meetings with minutes.
3. Prepare the annual POSH report and retain the submission acknowledgment.
4. Introduce an overtime authorisation and calculation sheet. Recalculate the last three months and pay any shortfall.

Next 60 days — Fix documentation and committee machinery.

1. Review maternity cases and policy. Document payments, leave and return-to-work protections.
2. Collect contractor PF/ESI registrations and challans. Audit the last three months of contractor payroll.

Next 90 days — Institutionalise monitoring and audit readiness.

1. Adopt an employment-injury compensation procedure and verify insurance/ESI coverage.
2. Adopt an equal-remuneration policy and run a grade-wise pay-gap review. Document the rationale for any differential.

06 COMPLIANCE CALENDAR

What recurs, and when.

WHEN	ITEM	OWNER
Monthly, by the 15th	Deposit PF and ESI contributions; retain ECR/challans.	Payroll
Monthly	Update wage, attendance, overtime and leave registers; reconcile with payslips.	HR / Payroll
Quarterly	Review Maharashtra Professional Tax / Labour Welfare Fund returns and contractor compliance.	Finance / HR
Annually	Prepare and file the POSH annual report with the District Officer.	ICC / HR
Annually	Complete bonus calculation and payment for eligible employees.	Finance / HR
Annually	Review gratuity valuation/provision and PF/ESI annual returns.	Finance
Event-based	Apply for/renew principal-employer registration and contractor licences.	Compliance
Event-based	Report reportable accidents and occupational diseases; update the accident register.	Safety / HR

07 EVIDENCE & SIGN-OFF

The file behind the opinion.

DOCUMENT	STATUS	PURPOSE
Wage register	Provided	Employee-wise wages, deductions and net pay.
Attendance register	Provided	Daily attendance, shifts, rest intervals and overtime.
Leave register	Provided	Annual, sick, casual, maternity and encashment records.
Overtime register	Open	Authorisation, hours and 2x rate calculation.
Bonus register	Provided	Eligibility, ceiling, days worked and payment.
PF / ESI challans	Provided	Monthly ECR, challans and employee coverage.
Gratuity policy / valuation	Provided	Eligibility, provision and payment records.
Contractor compliance file	Open	Licences, registers, wages, PF/ESI and principal-employer records.
Certified standing orders	Open	Certification, display and employee acknowledgment.
Grievance / works committee records	Provided	Constitution, minutes and complaint closure.
POSH policy and ICC file	Provided	Policy, ICC composition, complaints and annual report.
Safety committee / accident register	Provided	Constitution, inspections, incidents and closure.
Appointment letters / service records	Provided	Signed terms, designation, wage details and joining date.
Statutory notices and abstracts	Open	Displayed notices, abstracts and registrations.

SOURCES

- Code on Wages, 2019
- Code on Social Security, 2020
- Industrial Relations Code, 2020
- Occupational Safety, Health and Working Conditions Code, 2020
- Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013
- State minimum wage, Professional Tax, Labour Welfare Fund and establishment notifications (verify at issue)

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Date